# MOCK EXAMINATION ANSWER

1. A single premium policy means a policy
   a.) requiring only a single premium each year
   b.) under which only one premium payment is required
   c.) only available to single individuals
   d.) on which no more than one premium can be paid in advance

   Answer: B – Only one premium payment is required: present value (discounted) of future premium

2. To be able to calculate the required premiums for a given policy, the agent must know the applicants'
   a.) age
   b.) choice of plan
   c.) face amount desired
   d.) all of the above

   Answer: D – To be able to calculate the required premiums for a given policy, we must know the applicant's age, choice of plan and face amount.

3. To calculate premiums for the other modes of premium payment the annual premium is
   a.) divided by the desired number of premium payments
   b.) divided by a conversion factor for the mode of payment desired
   c.) multiplied by a conversion factor for the mode of payment desired
   d.) multiplied by a constant conversion factor

   Answer: C – To Calculate premiums for other modes of premium payment the annual premium is multiplied by a conversion factor for the mode of payment desired.

4. A fixed amount added to premium of a given policy regardless of policy size is known as
   a.) policy fee
   b.) policy reserve
   c.) policy values
   d.) extra premium

   Answer: A – Policy fee is the fixed amount added to premium of a given policy regardless of policy size

5. With employer-employee groups, an employee does not fill out a personal application for insurance. Instead, he merely fills out
   a.) an enrolment card
   b.) a registration card
   c.) a certificate of insurance coverage
   d.) a salary deduction form

   Answer: A – In a life insurance plan wherein several individuals are insured as a group rather than as individual under one master policy. An employee merely fills-up an enrolment card and not an application form.

6. Which one of the following provisions in a permanent life insurance policy may not lapse for non-payment of premium
   a) Guaranteed Insurability
   b) Automatic Premium Loan
   c.) Settlement Options
   d.) Reinstatement Provision

   Answer: B – If after the grace period the premium is still unpaid, the Insurer will automatically take out a loan equivalent to the unpaid premium against the policy's cash value and use it to pay the premium. This will prevent a policy from lapsing for non-payment of premiums. It differs from policy loan since it goes into effect without any separate action from the policy owner,

7. For a contract to be legal and binding
   a.) parties to the contract must be members of the bar
   b.) parties to the contract must be legally competent
   c.) parties to the contract must be above 21
   d.) parties to the contract must possess blood relationship

   Answer: B – A contract whereby a party, for a consideration agrees to pay another a certain of amount of money in the vent of the latter's death from any cause not excepted in the contract, or upon surviving a specified period of time or otherwise on the continuance or cessation of life. Therefore, for a contract to be binding, both parties should be legally competent. Legally competent means those people who are recognized by law as being able to contract with others; those of legal age and sound mind.

8. For life insurance coverage to be valid, insurable interest must exist
   a.) only at the inception of the policy
   b.) only at the time of the loan
   c.) throughout the entire lifetime of the policy
   d.) both at the time of the policy issue and at the time of the loan but not necessarily throughout the lifetime of the policy

   Answer: A – Must have insurable interest on the life of the insured at the time designation is made or at the inception of the policy.

9. A father enters into a life insurance contract on behalf of his child. In this case, the father is the
   a.) insured
   b.) beneficiary
   c.) insurer
   d.) applicant-owner

   Answer: D – The Insured is minor (below 18) and must have a payor. Therefore, in this case the father is the applicant-owner.

10. In the event an employee leaves the company in which he is a member of its group insurance policy, his group coverage can be changed to an individual policy using the
    a.) policy exchange facility
    b.) conversion privilege
    c.) change of plan provision
    d.) policy change form

    Answer: B – The special feature of Term Plan is convertibility. It offers protection for a specified/limited period but may be converted to a permanent policy before the term ends (even without evidence of insurability)

11. The insurance code specifies that a contract does not take effect unless
    a.) the policy is delivered to an insured, his assignee or agent, or to a beneficiary
    b.) payment of the first premium is made to the insurer or its authorized agent
    c.) no change has taken place in the insurability of the life to be insured between the time of the application was completed and the time the policy was delivered
    d.) the insured has named in the policy no fewer than two beneficiaries

    Answer: B – Contract will take effect upon payment of the first premium.

12. All of the following would be practicable to become beneficiaries except
    a.) children by former marriage
    b.) brothers and sisters
    c.) someone who owes you money
    d.) someone whom you owe money

    Answer: C – Anyone could be designated by the policy owner to received the proceeds upon death of the insured except someone who owes you money.

13. Benefits payable under health insurance policies cover
    a.) accidental death and dismemberment benefits
    b.) expense reimbursement benefits
    c.) disability income benefits
    d.) all of the above

    Answer: D – Medical expenses insurance covers the following:
    1. Hospital Surgical Expenses Coverage
    2. Major Medical Coverage
    3. Hospital Confinement Coverage
    4. Specified Expense Coverage

14. Under the law pertaining to life insurance
    a.) only minor children can be named irrevocable beneficiaries
    b.) only the wife can be named irrevocable beneficiary
    c.) only the wife and the children can be named irrevocable beneficiaries
    d.) any person with insurable interest can be named irrevocable beneficiaries

    Answer: D – Any person with insurable interest can be named as irrevocable beneficiaries. The interest that exist when a person has a reasonable expectation of benefiting from the continued life of the insured, or of suffering a loss as a result of the insured's death.

15. When the proceeds of a life insurance policy are left with the company to earn interest
    a.) income tax is levied on the proceeds
    b.) income tax is levied on the interest earnings of the proceeds
    c.) estate tax is levied on the proceeds
    d.) donor's tax is levied on the proceeds

    Answer: B – Death proceeds are not subject to income tax because the death benefits are not considered as income. But if the proceeds are left with the company to earn interest earnings will be deemed as income and therefore taxable.

16. If a policy did not contain the name of a beneficiary, the beneficiary will be
    a.) the wife
    b.) the children
    c.) the insured's brothers and sisters
    d.) the insured estate

    Answer: D – If a policy did not contain the name of a beneficiary, the beneficiary will be the insured estate.

17. A person has insurable interest in the life of
    a.) his child or grandchild
    b.) any person upon whom he is wholly or in part dependent on, or from whom he is receiving support or education
    c.) any person in whom he has pecuniary interest
    d.) all of the above

    Answer: D – Any person has insurable interest in life except someone who owes you money. The interest that exist when a person has a reasonable expectation of benefiting from the continued life of the insured, or of suffering a loss as a result of the insured's death.

18. Anybody can be designated a beneficiary except
    a.) a creditor
    b.) minors
    c.) those expressly prohibited by law to receive donations
    d.) all of the above

    Answer: C – Anybody can be designated to be a beneficiary except those expressly prohibited by law to receive donations. According to the law anyone can be insured except a public enemy.

19. The parties involved in life insurance contract are the
    a.) insurance company and agent
    b.) insurance company and insured
    c.) agent and insured
    d.) insured and beneficiary

    Answer: B – Both parties that are legally competent agreed to enter into a contract, accepting each others rights, limitations and obligations as specified in the policy. Parties involved in the contract are the insurance company and the insured.

20. According to insurance law, a common-law spouse cannot be designated a beneficiary
    a.) since there is no benefit of marriage in the relationship
    b.) if his/her legal partner is still living and the previous marriage has not been legally dissolved
    c.) since the common-law relationship is an immoral relationship
    d.) all of the above

    Answer: B – According to The Family Code (Art.147) recognizes, and expressly governs the property relations in, the relationship where a man and a woman live exclusively with each other just like a husband a wife, but without the benefit of marriage (or when the marriage is void). It is required, however, that both must be capacitated, or has no legal impediment, to marry each other (for instance, couples under a "live-in" relationship)

21. If a loan is taken on a participating policy, dividends for that policy while there is a loan against the policy will be
    a.) suspended
    b.) paid at a reduced rate
    c.) unaffected
    d.) increased

    Answer: C - Policy loan allows the insured to take out a loan on a participating plan or against his/her policy's cash value once these become available. Dividends will be unaffected.

22. The convertible feature of a term insurance policy provides that the policy may be
    a) changed to permanent insurance policy without evidence of insurability
    b) changed to another life
    c) cashed for a guaranteed sum
    d) changed to a permanent insurance with evidence of insurability

    Answer: A – Offers protection for a specified/limited period but may be converted to permanent policy before the term ends (even without evidence of insurability)

23. Within two years of buying a life insurance policy you are accidentally killed when your car hits a tree. In these circumstances, the insurance company will
    a.) refund premiums because it is suicide
    b.) pay double the face amount
    c.) pay the face amount
    d.) pay nothing

    Answer: C – In this case, the insurance company will pay just the face amount. It is not stated nor declared how the insured died in the accident. Let just say maybe he hit the tree intentionally.

24. A policyholder may obtain money from the insurance company and still remain insured by
    a.) surrendering the policy for its cash value
    b.) discontinuing payment of premium for some period
    c.) taking a policy loan
    d.) taking the extended insurance option

    Answer: B – Policy loan may be obtain form the insurance company and still the insurance will be in-force. It doesn't affect the whole insurance policy just the available cash value on that time.

25. When you bought an insurance policy on your wife's life you were 27 and she was 26, but you stated that you were 26 and she was 27. Five years later, your wife died. The insurance company will pay
    a.) the face amount
    b.) the face amount adjusted for misstatement of age
    c.) the sum of the premiums paid
    d.) slightly less than the face amount

    Answer: B – Misstatement of age does not void the contract and if discovered upon claim, the proceeds will be adjusted according to a formula.

26. The common practice of most life insurers is that the life insurance goes into force
    a.) when the application is received by the branch office
    b.) when the policy is delivered to the applicant
    c.) in accordance with the legal stipulation of the Insurance Code
    d.) when the agent gives a binding receipt

    Answer: D – Binding premium receipts is a type of initial premium receipt that makes insurance coverage effective immediately but only until the insurance company either rejects the application or approves it and issue a policy.

27. When explaining dividends, the following information must be supplied
    a.) that they are not guaranteed
    b.) that dividends paid up in the previous years
    c.) the anticipated dividends
    d.) the relation to the cost of the policy

    Answer: A – Dividends are not guaranteed. The company must be clear on the fact that dividends, by definition, are up to the discretion of companies and can stop at any time. It may be higher at some point or it may even fluctuate.

28. A man with moderate means can have maximum protection possible through
    a.) 20 Year Endowment
    b.) Limited Pay Life
    c.) Term Insurance
    d.) Whole Life Insurance

    Answer: C – Term insurance is a type of insurance policy that provides coverage for a certain period of time or a specified term of years at nominal cost.

29. If the insured dies during the grace period of an unpaid life insurance policy, the amount payable to the beneficiary is usually the
    a.) total premiums paid plus interest
    b.) cash surrender value of the policy minus the unpaid premiums
    c.) face amount of the policy minus the unpaid premiums
    d.) full face amount

    Answer: C – The insured is covered during the grace period but should death occur, the premiums which are due and unpaid shall be deducted from the proceeds.

30. The typical grace period provision in a life insurance policy obliges the life insurance company to
    a.) establish a policy loan to cover any premium which the policyowner fails to pay by the due date
    b.) keep the policy in force for the duration of any major disability suffered by the policyowner
    c.) allow the policyowner a three-month extension beyond the due date to make the late premium payment without penalty
    d.) none of the above

    Answer: D -The typical grace period provision that the policy owner is entitled to a grace of 31 days or 1 month from the due date for the payment of premiums.

31. An automatic premium loan differs from the other policy loans in that an automatic premium loan
    a.) need not be repaid by the policyowner
    b.) must be repaid during the policy year in which it is granted
    c.) goes into effect requiring no separate action from the policyowner
    d.) involves higher interest payments because of the greater cost of administration

    Answer: C - The automatic premium loan will prevent a policy from lapsing for non-payment of premiums. It differs form policy loan since it goes into effect without any separate action from the policy owner.

32. If a policyowner does not pay a premium on the due date, the policy will immediately
    a.) lapse
    b.) be converted to a paid up policy for a lesser amount
    c.) go into automatic premium loan
    d.) continue in full force for a period of grace

    Answer: D – If a policy owner does not pay a premium on due date the policy will continue in full force for a period of grace. The grace period states that the policy owner is entitled to a grace of 31 days or 1 month form the due date for the payment of premiums. The insured is covered during this period.

33. If a policyowner whose wife is the irrevocable beneficiary wishes to cash in his policy, he must
    a.) tell his wife what he is going to do
    b.) first take a loan on the policy
    c.) have the check issued in the name of his wife
    d.) have the wife's consent

    Answer: D – If the beneficiary is irrevocable the beneficiary designated with vested right to the policy proceeds and may not be changed without his/her written consent.

34. Choose the incorrect statement
    The entire contract between the policyowner and the insurance company include
    a.) the application and the policy
    b.) any verbal statement made by the agent to the applicant
    c.) any document attached to the policy when issued
    d.) any subsequent written amendments to the contract

    Answer: B – Any verbal statement made by the agent to the applicant is not a contract

35. Interest is charged on policy loans
    a.) for registered policies only
    b.) if the loan is outstanding for more than a year, a loan repaid within a year is interest free
    c.) to replace investment income the insurer cannot earn since a loan has been granted free
    d.) for participating policies only

    Answer: C – Interest is charged on policy loans to replace investment income the insurer cannot earn since a loan has been granted free.

36. An insurance plan which offers both protection and saving, is called
    a.) Temporary Plan  c.) Participating Plan
    b.) Permanent Plan  d.) Non-participating Plan

    Answer: B – Permanent plan provides both protection and savings. Death, Maturity living benefits in the contract are guaranteed within the insured's lifetime or until a specified age or year.

37. The main difference between a term plan and a permanent plan is
    a.) permanent plans provide both protection and savings while term plans offer protection only
    b.) permanent plans provide savings and dividends while term plans provide savings only
    c.) permanent plans can be converted and renewed while term plans cannot
    d.) all of the above

    Answer: A – The permanent plan provides both protection and savings. Death, maturity, living benefit in the contract are guaranteed within the insured's lifetime or until specified age or year while term plan provides protection only, it does not have savings element (no cash value, no dividends)

38. Mr. Juan Valdez wants a policy which will entitle him to receive dividends yearly. What will you recommend to Mr. Valdez?
    a.) Participating Plans  c.) Term Insurance
    b.) Non-participating Plans  d.) None of the above

    Answer: A – Participating plan is a plan in which the policy owner shares in the insurance company's divisible surplus (dividends)

39. Which of the following can give the longest protection?
    a.) 20 Year Endowment  c.) Ordinary Life
    b.) Endowment at 65  d.) 20-Year Term

    Answer: C – Ordinary Life is a plan which provides insurance coverage for life at a level premium. Premiums are payable for life.

40. An individual at age 35 purchases a policy under which he will in 20 years receive the face amount of the policy himself, if he is still alive at that date. This policy is obviously a
    a.) 20-Year Endowment  c.) 20 Year Term
    b.) 20-Pay Life  d.) none of the above

    Answer: A – The endowment plan provides insurance protection with the highest level of savings within a specified period.

41. In a 20-Pay Life policy
    a.) protection is until age 100, payment of premium is for 20 years
    b.) protection is until age 100, payment of premiums until age 100
    c.) protection is for 20 years, payment of premium is for 20 years
    d.) protection is for 20 years, payment of premiums until age 100

    Answer: A – In a 20 pay life policy, protection is until age 100 and the payment of premium is for 20 years. This is a plan which provides lifetime protection with premiums payable for a limited period.

42. A participating plan entitles the policyowner to receive a return of excess premiums. Such is termed as:
    a.) endowments  c.) cash values
    b.) dividends  d.) cash surrender value

    Answer: B – In a participating plan the policy owner shares in the insurance company divisible surplus or what we called dividends.

43. Mrs. Rose Cortez owns a policy which does not provide for the build up of cash values and whose premiums remain level. Mrs. Cortez owns:
    a.) Ordinary Life  c.) Decreasing Term
    b.) Limited Pay Life  d.) Level Term

    Answer: D – In level term the sum assured and premiums remain the same over the term of the policy. Term insurance does not provide cash value.

44. Two attractive features of a Term insurance are:
a.) convertibility and cash values c.) protection and dividends
b.) cash values and dividends d.) convertibility and renewability

Answer: D – Term plans can generally be renewable and or convertible. This means renewable as term plan or convertible to a permanent plan.

45. A term insurance which allows the policyowners to convert it to a permanent insurance within a specified period without evidence of insurability contains _____ feature;
a.) convertibility c.) dividend option
b.) renewability d.) both a & b

Answer: A – Convertibility is a special feature of term plan. It offers protection for specified limited period but may be converted to a permanent policy before the term ends

46. If a policy with the accidental death rider becomes paid up
a.) the accidental death rider ceases
b.) the face amount of the policy is reduced
c.) premiums on the basic policy stop but the rider premium continues
d.) none of the above

Answer: A – Accidental death benefit rider is a rider that provides an additional benefit on top of the face amount of the basic plan if the cause of death is due to accidental means, generally, equivalent to the original amount of coverage.

47. A term policy only offers
a.) cash values c.) savings
b.) protection d.) dividends

Answer: B - Term plan offers protection for a specified/limited period only but maybe converted to a permanent policy before the term ends.

48. The savings element of permanent plans allows build up of
a.) dividends c.) maturity benefits
b.) cash values d.) death benefits

Answer: B – The savings element of permanent plan is what we called cash value

49. A term rider is
a.) a term policy with a waiver of premium
b.) another name for a convertible term policy
c.) a renewable term policy
d.) a term insurance added to a permanent plan

Answer: D – Term rider provides added insurance protection to permanent plans for periods when increased protection is needed.

50. An optional rider which can be attached to a policy stopping further premium payments in the event of disability is called
a.) policyholder protection clause
b.) accidental death and dismemberment
c.) waiver of premium
d.) total disability monthly income

Answer: C – Waiver of premium due to disability is a rider that waives all premiums due in the event of total and permanent disability.

51. For the waiver of premium to be effective
a.) disability must be total c.) both a & b
b.) disability must be permanent d.) either a or b

Answer: C – The waiver of premium to be effective. It must be total and permanent. Total disability means the Insured is wholly prevented from engaging in his/her work for which he/she was qualified by reason of education and training.

52. When a policy is assigned absolutely
    a.) the assignee acquires all the rights and interests of the original policyholder
    b.) the original policyholder still can exercise some of the rights
    c.) the original beneficiary is not changed
    d.) none of the above.

    Answer: A – When the policy is assigned absolute the assignee acquires all the rights over the policy

53. Disability benefits are not paid
    a.) for self-inflicted injuries
    b.) if there is a loan against the policy
    c.) if all the policy dividends have been withdrawn
    d.) if disability resulted from sickness only

    Answer: A – Disablity benefits are not paid for self inflicted injuries or intentional.

54. Mr. Pedro Cruz became paralyzed as a result of jumping out of the window in an attempt to commit suicide. Under the usual provisions of a disability income policy, he would be entitled to
    a.) receive the total disability income benefit and the waiver of premiums
    b.) receive partial disability benefits
    c.) be granted the waiver of premiums
    d.) receive neither disability income nor waiver of premiums

    Answer: D – The provision of suicide clause states that if the insured commits suicide within two years from the policy issue date or last reinstatement, the liability of the company shall be limited to only a return of premiums.

55. A person wanting a greater coverage for the least amount of premium has an option of attaching what rider in his permanent life policy?
    a.) a waiver of premium
    b.) term insurance rider
    c.) guaranteed insurability rider
    d.) accidental death rider

    Answer: B – A term rider insurance provides added insurance protection to permanent plans for periods when increased protection is needed. Relatively low premium added.

56. One supplementary benefit offered is a payor's benefit which is intended to
    a.) provide for return of premiums to an adult payor in the event that a minor insured dies
    b.) provide a waiver of premium benefit in the event of death or disability of the person paying the premiums
    c.) allow the insurance company to pay the policy's proceeds to the person who seems equitably entitled to the proceeds
    d.) assure that the adult payor will retain a vested interest in the policy when the insured reaches the age of majority

    Answer: B – Payor's supplementary rider or payor's clause is a rider usually attached to juvenile policies. This means that the insured is a child. Payor's death and disability rider waives all due premiums in the event of payor's death or total disability.

57. If an insured is disabled and his life insurance policy is being continued in force through the waiver of premium, the dividends of the policy would
    a.) cease
    b.) continue at reduced rate
    c.) continue as if the owner is paying the premium
    d.) continue but they would be applied toward premium being waived

    Answer: C – In this case the dividends of the policy continue as if the owner is paying the premium because the waiver of premium waives all the premiums due in the event of total and permanent disability.

58. A policy with a minor as a proposed insured is called
    a.) rated policy
    b.) juvenile policy
    c.) regular policy
    d.) substandard policy

    Answer: B – A juvenile policy means that the child is insured

59. Life insurance policies for which higher than standard premium rates are payable are said to be
    a.) rated policies
    b.) contingent policies
    c.) non-participating policies
    d.) conditional policies

    Answer: A – Rated policies are insurance policies which are higher than the standard premium rates.

60. Since the purchase of life insurance is a voluntary choice, the individual must meet
    a.) comprehensive inspection report
    b.) certain standards of health and occupation
    c.) minimum income requirement
    d.) all of the above

    Answer: B – Certain standards of health and occupation must meet because it is a tendency of people who are medically unfit to purchase more life insurance than those who are in good health while hazardous occupation has occupational rating.

61. Which of the following factors would have the least effect on the premium charged for life insurance?
    a.) age
    b.) occupation
    c.) income
    d.) all of the above

    Answer: C – Income has the least effect on the premium charged for life insurance

62. Anti-selection occurs
    a.) when the agent thinks only of his own interest and not of his policyholders
    b.) when you purchase bad stocks with expectation that they will improve
    c.) when the insurance company accepts more than the share of poor risks
    d.) when persons in poor health wish to buy insurance

    Answer: D – Anti selection occurs when the person in poor health wish to buy insurance. It is a tendency of people who are medically unfit to purchase more life insurance than those who are in good health.

63. In insurance, risk means
    a.) chances of you being paid by the company
    b.) hazards on peoples lives
    c.) chances of the beneficiary being paid
    d.) none of the above

    Answer: B – Risk means hazards on peoples lives

64. In an application, the information that must be disclosed include
    a.) only his date and place of birth
    b.) only his family history
    c.) every fact in his knowledge that is material to the insurance
    d.) only information he wants the agent to know

    Answer: C – All information must be disclosed in the application of insurance.

65. Insurance Companies have various sources of information and the insured. These are
    a.) application form
    b.) medical information bureau
    c.) inspection report
    d.) all of the above

    Answer: D – Application form, Medical Information bureau and inspection report are some of the sources of the insurance companies.

66. In insurance risks are classified as
    a.) unacceptable and acceptable
    b.) regular and irregular
    c.) standard, substandard and decline
    d.) complete and incomplete

    Answer: C – Standard, substandard and decline are the classification in insurance risks.

67. The person who purchases the annuity plan is called the
    a.) assignor
    b.) owner
    c.) insured
    d.) annuitant

    Answer: D – Annuitant is the person who purchase annuity and receives the benefits of the annuity plan.

68. A risk is considered substandard based on any or all of the following criteria
    a.) death, occupation and moral character
    b.) occupation, moral character and family health history
    c.) income, educational attainment and occupation
    d.) death, income and educational background

    Answer: B – Occupation, moral character and family health history are some of the factors to be considered in risk appraisal together with Financial, moral, avocation and residence.

69. A hazardous occupation could be defined
    a.) an occupation the duties of which expose the insured to a degree of danger sustaining injury
    b.) an occupation in unhealthy working conditions exposing the insured to elements which can cause sickness
    c.) an occupation which exposes the insured to social hazards
    d.) all of the above

    Answer: D – A hazardous occupation are classified in unhealthy conditions, accident hazard and social hazard.

70. Statement in the application forms are
    a.) guarantees
    b.) representation
    c.) warranties
    d.) none of the above

    Answer: B – All statements made by the insured/applicant are deemed as representations and not warranties.

71. Mr. Roel Reyes has been confined in a hospital 3 years prior to his application for life insurance. He therefore needs to give the following information
    a.) name of attending doctor, diagnosis, date of confinement
    b.) the bill and medicines
    c.) name of doctor only
    d.) date of confinement only

    Answer: A – Name of attending doctor, diagnosis and date of confinement will help the insurance company to assess the application of the insured and may or may not add additional rate due to his hospitalization 3 years prior his application to life insurance.

72. Insurance companies have a source of confidential medical information on applicants for life insurance. This is the
    a.) agents confidential report bureau
    b.) inspection reports bureau
    c.) financial standing bureau
    d.) medical impairment bureau

    Answer: D – medical Impairment bureau is the source of all the life insurance companies on medical informations of the applicant.

73. An agent is filling up the Agent's Confidential Report. What information must he put in his report?
    a.) information about insured's standing in the community
    b.) information about insured's finances
    c.) all information he knows which are material to the application for insurance
    d.) a & b only

    Answer: C – An agent must know all the informations he knows are material to the application of the insurance. An agent may supply additional information on client that may have some bearing on underwriting of the application.

74. An annuity plan
    a.) offers life insurance protection
    b.) offers the waiver of premium benefit
    c.) is the same as the endowment plan
    d.) is a purchase income

Answer: D – An annuity plan is a purchase of income. It is a contract which provides for a series of payments starting at a stated or contingent date and continuing for a fixed period or for the life of the person entitled to receive the payment.

75. A life insurance company earns income from two main sources
a.) premium income and investment income
b.) mortgage income and premium income
c.) dividend income and interest income
d.) mortgage income and dividend income

Answer: A – A life insurance company earns income from premium income (profit from operations) and investment income (profit from Investment).

76. Policy reserves are future obligations on the part of
a.) the Insurance Commission c.) the beneficiary
b.) the Insurance Company d.) the policyowner

Answer: B – The amount of money set aside from premium payments which will enable the insurance company to pay policy claims. Policy reserves are future obligations of the insurance company

77. Insurance companies which are owned by the policyowners are examples of
a.) stock companies c.) family corporation
b.) mutual companies d.) open-end companies

Answer: B – One type of the insurance companies are Mutual stock which are owned by policyholders/insureds

78. Stock companies are owned by
a.) policyholders c.) creditors
b.) stockholders d.) government

Answer: B – Stock Companies are owned by stockholders

79. In the case of life insurance a sale is considered completed if the application is signed and payment of the first premium is made by the applicant. For the sale to be considered completed
a.) a medical examination has to be made first
b.) payment of the first premium has to be made by the applicant in full or in part, as specified. One of the acceptable methods of settlement by cash or check in part, with a note for the balance
c.) payment of the first premium has to be made in full by a note first
d.) the first premium has to be paid for in full and in cash

Answer: A – After signing the application form the next step is requiring the applicant for medical examination (if needed) before paying the premium.

80. Why is it important that the application is the basis of the policy?
a.) because the completed application is the basis of the policy contract and the company may accept or reject an application based on the information given in the application
b.) for the agent to have available data of his prospect in connection with future sales
c.) to avoid the necessity of the insurer putting all relevant details in the contract
d.) none of the above

Answer: A – The application form is the basic source if information. It is important in the selection of risk. It is the basis for the issuance of the policy contract. It may be the grounds for accepting or rejecting an applicant. Applicants statements must be accurate, complete and detailed.

81. Which one of the following statement is correct?
a.) advertising by life insurance agents is prohibited
b.) all information about a client or a prospective client has to be treated as confidential
c.) the agents should always recommend the amount and type of policy to a prospective client which would be a profitable for the company
d.) when an agent advertises his services in the press, he is not allowed to state the name of his company

Answer: B – All information about a client or a prospective client has to be treated as confidential.

82. All of the following statements regarding life insurance application are correct except
a.) it must be signed by the applicant
b.) usually it will be made a part of the policy contract
c.) misstatements of material facts could void the policy during the contestable period
d.) statements made on the applications are warranties

Answer: D – All statements made by the insured/applicant are deemed as representations and not warranties

83. Prior to granting a license, the IC requires proof of
a.) a clean record of employment
b.) a reasonable educational background
c.) a prospective agent's character and reputation
d.) all of the above

Answer: D – Prior to granting a license, the IC requires proof of a clean record of employment, a reasonable educational background and a prospective agent's character and reputation.

84. The IC has the power to adjudicate insurance claims against insurance companies for any single claim not exceeding
a.) P 1,000,000.00
b.) P 250,000.00
c.) P 100,000.00
d.) P 500,000.00

Answer: C - The Insurance commission has the power to adjudicate claims against insurance companies up to P100,000.00

85. Which one of the following statements is correct?
a.) an insurance agent's license will be renewed when the Commissioner is satisfied that the information in the application is accurate and all the requirements are met
b.) an insurance agent's license is valid only for one month
c.) an insurance agent's license is valid during the lifetime of the agent
d.) an insurance agent's license will be renewed when the corresponding application and fee are received by the Insurance Commissioner

Answer: A – the insurance agent's license will be renewed when the Commissioner is satisfied that the information in the application is accurate and all the requirements are met.

86. The insurance industry is under government regulations because
a) it is required to account for money spent in company operations
b) it pays high taxes
c) it affects public interest
d) it is a charitable institution

Answer: C – The Insurance Commission, Department of Finance is a government agency that is mandated to regulates life insurance, non-life insurance (& pre-need) companies because it affect public interest.

87. Which one of the following statement is correct?
a) an agent is allowed to share commissions when selling a whole life policy but not when selling a term policy
b) an agent is allowed to share commissions with another licensed agent or agents but with no one else
c) sharing the commission with any other person is called twisting
d) an agent is not allowed to share commissions with any person

Answer: B – Twisting is unethical, persuading a prospect to lapse or forfeit his existing policy in order to buy a new policy

88. Persuading a policyowner, directly or indirectly, to surrender or lapse a policy in one company and replacing it with a policy in another company is
a) Rebating
b) Twisting
c.) knocking
d.) discounting

Answer: B – Twisting is persuading a prospect to lapse or forfeit his existing policy in order to buy a new policy.

89. Rebating is
a) dating the policy a month in advance
b) giving false information
c) twisting
d) premium discrimination against policyholders

Answer: D – Rebating is the act of giving or offering to give any special advantages or valuable consideration not specified in the policy to include a sale. Premium discrimination against policy holders.

90. An insurance agent's license can be revoked for
a) fraudulent practices
b) violation of any provision of the Insurance Code
c) misrepresentation in the application for license
d) any or all of the above

Answer: D – An insurance agent's license can be revoked for fraudulent practices, violation of any provision of the Insurance Code and misrepresentation in the application for license

91. One example covered under the ethical practices and procedures is
a) keep all policyholders information confidential
b) always recommend a will
c) never drink in front of client
d) always pick up the first premium with the application for insurance

Answer: A – One example covered under the ethical practices and procedures is to keep all policyholders information confidential.

92. The term knocking means
a) promising to pay to two annuitants a fixed annual income as long as both survive
b) making derogatory remarks about competing underwriters or companies
c) the number of years that person at a given age will live on the average as shown by mortality table
d) none of the above

Answer: B – Knocking means making derogatory remarks about competing agents and companies

93. The following are unethical practices in the solicitation and procurement of insurance except
a) misleading estimates of the dividends or shares of surplus to be received thereon
b) inducing a policyholder to lapse, forfeit or surrender a policy he holds for another company
c) misrepresenting the terms of any policy issued by any insurance company or the benefits or advantages promised thereon.
d) obtaining or attempting to obtain a license by fraud or misrepresentation

Answer: D – Obtaining or attempting to obtain a license by fraud or misrepresentation are unethical practices in the solicitation and procurement of insurance.

94. Twisting is
a) paying the premium on one policy by surrendering the dividends of another policy
b) the replacement of a policy in one company with another policy in another company
c) an attempt made by an insurance company to secure the services of an agent from another company
d) an offense which does not apply to variable concepts

Answer: B – Twisting is persuading a prospect to lapse or forfeit his existing policy in order to buy a new policy.

95. The misstatement of facts by either of the parties of insurance to the other whether in writing or orally preliminary and in reference to making the insurance contract is
a) Knocking
b) Overloading
c.) misrepresentation
d.) twisting

Answer: C – Misrepresentation is when an agent makes false statements regarding the contract.

96. Selling a person more insurance than what is warranted by his sources is called
a) Overloading
b) Twisting
c.) rebating
d.) knocking

Answer: A – Overloading is selling more insurance than what the insured person can afford

97. An agent is prohibited from doing all of the following except :
a) alter an application without the applicants prior written approval
b) convince a prospective client to cancel his policy in one insurance company in order to buy a policy in the insurance company represented by the agent
c) refund some of his commission to his client
d) make complete comparisons of policies he sells and those offered by competing insurance companies.

Answer: D – An agent can make complete comparisons of policies he sells and those offered by competing insurance companies.

98. Inducing an insured to lapse or forfeit his insurance
a) is not allowed by the conditions of the contract
b) is always to the advantage of the policyholder
c) is an offense in the great majority of cases
d) is a matter left entirely to the discretion of the agent

Answer: C – Inducing an insured to lapse or forfeit his insurance is an offense in the great majority of cases.

99. The suicide clause is in effect for
a) the first 6 months
b) the first year
c.) the first two years
d.) the first 18 months

Answer: C – The suicide clause states that if the insured commits suicide within two years from the policy issue date or last reinstatement, the liability of the company shall be limited to only a return of premiums.

100. The three non-forfeiture values in a permanent policy are
a.) cash dividends, bonus additions and extended term insurance
b.) cash surrender value, loan value, assignment
c.) waiver of premium, reinstatement and the policy loan
d.) cash surrender value, paid value, extended term insurance

Answer: D – The three non-forfeiture options are cash surrender value, extended term insurance and reduced paid-up insurance.

101. In the event that a policy elects the paid up insurance option
a.) the premiums stop and the policy continues for the full face amount until age 65
b.) the premium cease and protection continues with a reduced amount of coverage
c.) the insurance continues at a reduced amount and with a reduced premium
d.) the policy will automatically terminate

Answer: B – When the insurance is Reduced paid up, the Insured enjoys protection for the same period as with the original policy but for a reduced face amount.

102. What are the basic settlement options?
a.) cash surrender value, automatic premium loan
b.) fixed amount, fixed period, interest, fixed period and for life
c.) double indemnity, total disability, waiver of premium
d.) policy loans, assignment, beneficiary designation

Answer: B – The settlement options are Interest option, fixed period, fixed amount and Life income.

103. In case of misstatement of age
a.) the policy is canceled and a new one is issued for the correct age
b.) the insured can be changed
c.) the amount of insurance is adjusted to the amount which the premium paid at the correct age would have purchased
d.) the policy remains in force and the company cannot contest it

Answer: C – In Misstatement of age, the contract would not be void and if discovered upon claim, the proceeds will be adjusted according to formula.

104. Which of the following is a settlement option
a.) policy loan

b.) cash surrender value
c.) extended term insurance option
d.) interest on insurance proceeds

Answer: D – Interest option is a kind of settlement option in which the company holds the principal proceeds and pays the guaranteed rate of interest at regular intervals.

105. Name the provision in a permanent life insurance policy under which if the premiums are discontinued full insurance coverage will be maintained for a specified period
a.) extended term insurance
b.) paid up insurance
c.) paid up additions
d.) life income option

Answer: A – Extended term insurance is when the insured enjoys the same amount of coverage with the original policy but for a shorter period.

106. Which of the following is not derived from the non-forfeiture values
a.) cash surrender value
b.) paid up insurance
c.) dividends
d.) extended term insurance

Answer: C – The three non-forfeiture options are casg surrender value, extended term insurance and reduced paid up insurance.

107. Mr. Dela Cruz stated in his application that he was 30 years of age and a policy was issued to him on that basis. When he died twenty years later, it was found out that he was in fact 34 years of age at the time of his application. In conformity with the Insurance Code, the company
a.) paid the amount of insurance payable to his beneficiary reduced in relation to his actual age at the time the contract was signed
b.) paid one-half of the face value of the policy
c.) need not pay the face value of the policy but refund all premiums paid
d.) paid the full face value of the policy without any extra charges

Answer: A – In the event that misstatement of age is discovered upon claim, the proceeds will be adjusted according to a formula.

108. In the event that the policyowner elects the paid up insurance option
a.) premiums stop and the policy continues for a full face amount until age 65
b.) premium cease and protection continues for a reduced amount
c.) insurance continues at a reduced amount and with reduced premium
d.) the policy will automatically terminate

Answer – B – If the policy owner elects the paid up insurance, he will enjoy protection for the same period as with the original policy but for a reduced face amount.

109. If a policyowner commits suicide within one year, what's the company's liability
a.) the company is not liable at all
b.) the company would be liable for the payment of the face value of the policy
c.) the company would be liable for the payment of the premiums paid by the insured only
d.) none of the above

Answer: C – If a policy owner commits suicide within one year, the company will be liable for the payment of the premiums paid by the insured only. Suicide clause states that if the insured commits suicide within two years from the policy issue date or last reinstatement , the liability of the company shall be limited to only a return of premiums.

110. Which of the non-forfeiture option gives the largest amount of protection
a.) fully paid insurance
b.) cash surrender value
c.) extended term insurance
d.) all of the above given equal protection

Answer: C – Extended term insurance is when the insured enjoys the same amount of coverage as with the original policy but for a shorter period.

111. Any policy which has lapsed can be reinstated subject to normal conditions of proof of insurability within
a.) three years
b.) six months
c.) one year
d.) two years

Answer: A – Reinstatement allows the insured to revive his lapsed policy. This may be done if the policy has not lapsed for more than three years.

112. Life insurance is
a.) a luxury afforded by the rich
b.) only available to specific group
c.) a cooperative risk-sharing plan
d.) a speculative risk

Answer: C – Life Insurance is a cooperative risk sharing plan that protects income earners & dependents against economic losses due to the 3 hazards/threats to continuity of income

113. The official who makes the necessary assumption and calculation in respect of the principal elements in life insurance premium in order to arrive at the premium rates to be charged is the
a.) life agent
b.) senior statistician
c.) Insurance Commissioner
d.) Actuary

Answer: D – The actuary is the person who makes the necessary assumptions on the principal elements of a life insurance premium

114. Since the purchase of life insurance is a voluntary choice the individual must meet
a.) a comprehensive inspection report
b.) certain standards of health and occupation
c.) a satisfactory medical examination
d.) a minimum income figure

Answer: D – Since the purchase of life insurance is voluntary the individual must meet a minimum income figure.

115. The fundamental advantage of the use of insurance as a means of meeting economic losses is that through insurance these losses are
a.) spread over a large number of people
b.) deferred for a specified period of time
c.) reduced for the group as a whole through the multiplier effect
d.) met as they arise through savings accumulated on an assessment basis

Answer: A - A Life insurance is a cooperative risk sharing plan. By spreading risk of loss to a large number of people.

116. The term loading means
a.) the difference between the gross and net premiums for the purpose of paying the insurance overhead expenses including commissions and taxes
b.) the amount which the company will lend to the policyholder with the policy as a security
c.) the amount payable in the event of the occurrence of a loss which renders him unfit for insurance
d.) none of the above

Answer: A – Loading means the difference between the gross and net premiums for the purpose of paying the insurance overhead expenses including commissions and taxes

117. Life insurance contributes directly to the welfare and progress of the country by
a.) accumulating capital for investment in commerce and industry
b.) partially relieving the community of the care of dependents
c.) encouraging provisions for the future
d.) all of the above

Answer: D – Role of life insurance contributes directly to the welfare and progress of the country by accumulating capital for investment in commerce and industry, partially relieving the community of the care of dependents and encouraging provisions for the future, enabling the families to maintain their customary cost of living and encouraging and promoting thrift.

118. Life insurance can provide money when income stops because of
a.) Disability
b.) Death
c.) retirement
d.) all of the above

Answer: D – Life insurance can provide money when income stops because of death, disability and retirement or old age.

119. The three elements that make up a life insurance premium are

a.) mortality experience, investment earnings and operating expenses
b.) cash values, dividends and paid up values
c.) cash values, loan values and paid up values
d.) past dividend experience, present dividend and projected interest

Answer: A – The factors in determining a premium are mortality, investment earning (interest) and loading/operating expenses.

120. The number of years that persons at a given age will live on average as shown by the mortality table is called
a.) law of large numbers
b.) life income option
c.) life annuity
d.) life expectancy

Answer: D – A mortality table shows how many people in each age group of the same sex may be expected to die in a particular year. It shows the number of deaths per one thousand lives at each age from birth to some upper age such as 100

121. Part of the premium paid by a policyholder is invested by the insurance company. In premium computation, this factor is known as
a.) interest
b.) investment
c.) loading
d.) mortality

Answer: A – Part of the premium paid by a policy holder is invested by the insurance company and in premium computation this factor is known as interest.

122. Which one of the following statements is correct?
a) rebating of premiums can only be authorized by the head office of the insurer
b) a life insurance is not allowed to identify on his letterhead the name of the insurer he represents
c) life insurance agents are allowed to act for two insurers at the same time under the same license
d) rebating of premiums by an insurance agent is prohibited.

Answer: D – Rebating of premiums by an insurance agent is prohibited. It is the act of giving or offering to give any special advantages or valuable consideration not specified in the policy to include a sale. Premium discrimination against policy holders.